ANNUAL OPERATING BUDGET

Pelican Crestline Medical Plaza | Philadelphia, PA

Property	Pelican Crestline Medical Plaza
Fiscal Year	2024
Submitted By	Lumen Residential Services
Submitted	November 16, 2022

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$246,067	$254,160	$267,447	$21,380	8.7%	$8,914.89
5010 Loss to Lease	$510,895	$543,260	$574,285	$63,390	12.4%	$19,142.84
5020 Vacancy Loss	$672,053	$717,871	$750,595	$78,543	11.7%	$25,019.85
5030 Concessions	$296,941	$315,658	$337,567	$40,626	13.7%	$11,252.23
5040 Bad Debt	$463,969	$451,425	$479,120	$15,151	3.3%	$15,970.68
5050 Late Fees	$481,095	$486,217	$494,312	$13,216	2.7%	$16,477.06
5060 Utility Reimbursements	$435,550	$417,376	$422,063	-$13,487	-3.1%	$14,068.77
5070 Parking Income	$158,117	$146,448	$150,784	-$7,333	-4.6%	$5,026.14
5080 Application Fees	$314,296	$295,109	$300,106	-$14,190	-4.5%	$10,003.53
5090 Pet Rent	$645,004	$640,592	$682,988	$37,985	5.9%	$22,766.27
5100 Laundry Income	$174,013	$179,846	$184,021	$10,009	5.8%	$6,134.04
5110 Cable/Internet Revenue	$401,410	$432,781	$432,945	$31,535	7.9%	$14,431.50
5120 CAM Reimbursements	$123,194	$130,244	$134,281	$11,088	9.0%	$4,476.05
5130 Tax Reimbursements	$665,396	$691,627	$702,114	$36,718	5.5%	$23,403.81
5140 Insurance Reimbursements	$553,146	$529,991	$537,824	-$15,322	-2.8%	$17,927.47
5150 Percentage Rent	$432,335	$413,351	$427,345	-$4,990	-1.2%	$14,244.84
5160 Misc. Income	$155,485	$159,153	$159,538	$4,053	2.6%	$5,317.93
5170 Payroll - Management	$542,893	$545,240	$546,475	$3,583	0.7%	$18,215.84
5180 Payroll - Leasing	$396,065	$410,895	$413,419	$17,354	4.4%	$13,780.63
5190 Payroll - Maintenance	$466,179	$438,818	$445,670	-$20,509	-4.4%	$14,855.66
5200 Payroll Taxes & Benefits	$171,551	$161,517	$161,710	-$9,841	-5.7%	$5,390.32
5210 Repairs - Plumbing	$592,375	$560,056	$570,073	-$22,302	-3.8%	$19,002.44
5220 Repairs - HVAC	$244,522	$241,375	$257,826	$13,303	5.4%	$8,594.19
5230 Repairs - Electrical	$673,409	$627,251	$642,212	-$31,197	-4.6%	$21,407.08
5240 Repairs - Appliances	$380,384	$376,674	$377,131	-$3,253	-0.9%	$12,571.04

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5430 Legal & Professional	$605,768	$626,952	$634,970	$29,202	4.8%	$21,165.68
5440 Accounting & Audit	$249,587	$259,833	$268,866	$19,279	7.7%	$8,962.21
5450 Licenses & Permits	$552,680	$546,129	$580,793	$28,113	5.1%	$19,359.75
5460 Management Fee	$320,969	$320,240	$329,980	$9,011	2.8%	$10,999.33
5470 Property Insurance	$294,263	$300,453	$314,748	$20,484	7.0%	$10,491.58
5480 Real Estate Taxes	$425,073	$441,922	$451,639	$26,566	6.2%	$15,054.64
5490 Asset Management Fee	$106,252	$109,142	$109,696	$3,444	3.2%	$3,656.54
5500 Replacement Reserves	$484,258	$500,655	$523,486	$39,228	8.1%	$17,449.53
5510 Roof Repairs	$68,850	$72,127	$72,673	$3,822	5.6%	$2,422.42
5520 Parking Lot Repairs	$302,456	$294,246	$295,688	-$6,768	-2.2%	$9,856.26
5530 Signage	$249,769	$252,371	$265,955	$16,186	6.5%	$8,865.15
5540 Tenant Improvements	$433,263	$414,398	$438,300	$5,037	1.2%	$14,610.00
5550 Leasing Commissions	$448,532	$454,956	$470,191	$21,659	4.8%	$15,673.04
5000 Gross Potential Rent	$648,541	$620,569	$633,643	-$14,898	-2.3%	$21,121.42
5010 Loss to Lease	$268,441	$247,093	$250,195	-$18,245	-6.8%	$8,339.85
5020 Vacancy Loss	$608,586	$623,154	$656,062	$47,476	7.8%	$21,868.73
5030 Concessions	$75,884	$73,531	$77,993	$2,109	2.8%	$2,599.76
5040 Bad Debt	$511,336	$472,513	$474,088	-$37,248	-7.3%	$15,802.92
5050 Late Fees	$327,529	$345,953	$356,461	$28,932	8.8%	$11,882.02
5060 Utility Reimbursements	$303,787	$286,445	$303,509	-$278	-0.1%	$10,116.97
5070 Parking Income	$455,130	$487,326	$507,430	$52,300	11.5%	$16,914.33
5080 Application Fees	$588,059	$579,019	$619,061	$31,001	5.3%	$20,635.36
5090 Pet Rent	$514,969	$534,567	$535,535	$20,565	4.0%	$17,851.15
5100 Laundry Income	$591,829	$635,741	$660,746	$68,917	11.6%	$22,024.86
5110 Cable/Internet Revenue	$666,021	$693,951	$705,600	$39,579	5.9%	$23,520.01
5120 CAM Reimbursements	$248,358	$240,577	$244,613	-$3,745	-1.5%	$8,153.77
5130 Tax Reimbursements	$366,640	$362,732	$367,224	$585	0.2%	$12,240.82
5140 Insurance Reimbursements	$671,939	$671,563	$712,092	$40,153	6.0%	$23,736.39
5150 Percentage Rent	$347,457	$319,774	$327,614	-$19,843	-5.7%	$10,920.47
5160 Misc. Income	$608,322	$620,931	$653,138	$44,816	7.4%	$21,771.27
5170 Payroll - Management	$115,426	$110,749	$114,875	-$552	-0.5%	$3,829.16
5180 Payroll - Leasing	$571,799	$582,625	$616,269	$44,470	7.8%	$20,542.31
5190 Payroll - Maintenance	$322,329	$303,261	$309,521	-$12,808	-4.0%	$10,317.37
5200 Payroll Taxes & Benefits	$388,371	$382,917	$397,078	$8,708	2.2%	$13,235.95
5210 Repairs - Plumbing	$637,801	$669,717	$713,816	$76,015	11.9%	$23,793.86
5220 Repairs - HVAC	$335,807	$324,554	$325,160	-$10,647	-3.2%	$10,838.67
5230 Repairs - Electrical	$585,357	$604,357	$629,815	$44,457	7.6%	$20,993.82
5240 Repairs - Appliances	$398,057	$401,350	$423,050	$24,992	6.3%	$14,101.65
5250 Painting & Decorating	$534,139	$506,213	$509,806	-$24,334	-4.6%	$16,993.53
5260 Flooring	$662,592	$633,464	$653,459	-$9,133	-1.4%	$21,781.97
5270 Make-Ready / Turnover	$263,769	$267,793	$280,843	$17,074	6.5%	$9,361.45
5280 Landscaping Contract	$222,058	$212,311	$227,063	$5,005	2.3%	$7,568.77
5290 Snow Removal	$584,674	$584,699	$607,071	$22,397	3.8%	$20,235.69

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Valuation Discussion

The going-in capitalization rate of 8.01% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $59,000, representing a 5.6% increase over the prior year.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 6.80x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.93% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $312,000 or approximately 44.68 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Service requests are tracked through a work-order system with an average completion time of 25 hours.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 23 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 35 spaces per 1,000 square feet.

Operating Performance

Operating expenses totaled $255,000 or approximately 13.21 per square foot, with real estate taxes representing the largest line item. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

Operating expenses totaled $213,000 or approximately 17.52 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $443,000, representing a 4.8% increase over the prior year. The going-in capitalization rate of 7.53% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.42x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 41 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Collections for the period were 95.5% of billed charges, with bad debt of 6.8% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Operating expenses totaled $334,000 or approximately 37.32 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.67x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $388,000, representing a 4.0% increase over the prior year. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$61,476	$64,531	$66,203	$4,726	7.7%	$2,206.76
5310 Pest Control	$238,509	$255,984	$270,952	$32,443	13.6%	$9,031.73
5320 Trash Removal	$35,011	$36,633	$37,701	$2,690	7.7%	$1,256.69
5330 Elevator Contract	$592,907	$609,426	$643,114	$50,207	8.5%	$21,437.12
5340 Fire & Life Safety	$610,670	$586,960	$596,791	-$13,880	-2.3%	$19,893.02
5350 Security	$438,334	$472,905	$493,976	$55,642	12.7%	$16,465.87
5360 Electricity - Common	$284,333	$280,765	$287,438	$3,104	1.1%	$9,581.25
5370 Gas - Common	$57,620	$60,175	$61,899	$4,278	7.4%	$2,063.28
5380 Water & Sewer	$36,131	$38,669	$40,051	$3,920	10.8%	$1,335.04
5390 Telephone/Internet	$240,984	$228,535	$234,295	-$6,689	-2.8%	$7,809.83
5400 Advertising	$424,452	$454,801	$472,020	$47,568	11.2%	$15,733.99
5410 Resident Events	$397,669	$381,392	$395,442	-$2,227	-0.6%	$13,181.39
5420 Office Supplies	$242,093	$228,036	$234,221	-$7,872	-3.3%	$7,807.37
5430 Legal & Professional	$109,679	$108,649	$110,967	$1,288	1.2%	$3,698.90
5440 Accounting & Audit	$355,501	$361,614	$371,172	$15,671	4.4%	$12,372.42
5450 Licenses & Permits	$175,648	$179,562	$190,947	$15,299	8.7%	$6,364.89
5460 Management Fee	$496,188	$507,550	$514,272	$18,085	3.6%	$17,142.41
5470 Property Insurance	$410,044	$394,243	$402,578	-$7,466	-1.8%	$13,419.26
5480 Real Estate Taxes	$133,527	$134,953	$136,010	$2,483	1.9%	$4,533.66
5490 Asset Management Fee	$620,898	$656,085	$683,062	$62,164	10.0%	$22,768.74
5500 Replacement Reserves	$161,945	$161,400	$163,208	$1,263	0.8%	$5,440.25
5510 Roof Repairs	$563,672	$530,156	$565,667	$1,995	0.4%	$18,855.56
5520 Parking Lot Repairs	$368,854	$388,629	$402,894	$34,041	9.2%	$13,429.81
5530 Signage	$160,150	$170,311	$172,774	$12,624	7.9%	$5,759.13
5540 Tenant Improvements	$411,536	$390,438	$401,564	-$9,973	-2.4%	$13,385.46
5550 Leasing Commissions	$629,345	$599,858	$617,439	-$11,906	-1.9%	$20,581.29
5000 Gross Potential Rent	$138,725	$139,188	$141,080	$2,355	1.7%	$4,702.66
5010 Loss to Lease	$146,233	$138,705	$146,134	-$98	-0.1%	$4,871.14
5020 Vacancy Loss	$547,611	$529,434	$559,910	$12,298	2.2%	$18,663.65
5030 Concessions	$358,563	$369,403	$390,768	$32,205	9.0%	$13,025.60
5040 Bad Debt	$604,128	$625,748	$638,548	$34,420	5.7%	$21,284.93
5050 Late Fees	$539,471	$554,382	$559,701	$20,230	3.7%	$18,656.69
5060 Utility Reimbursements	$374,068	$403,362	$430,390	$56,321	15.1%	$14,346.32
5070 Parking Income	$135,972	$139,680	$144,582	$8,610	6.3%	$4,819.38
5080 Application Fees	$619,101	$604,490	$610,478	-$8,623	-1.4%	$20,349.26
5090 Pet Rent	$411,138	$430,824	$433,757	$22,619	5.5%	$14,458.55
5100 Laundry Income	$609,269	$596,658	$607,871	-$1,398	-0.2%	$20,262.37
5110 Cable/Internet Revenue	$107,797	$99,635	$102,203	-$5,595	-5.2%	$3,406.76
5120 CAM Reimbursements	$435,897	$452,776	$477,428	$41,531	9.5%	$15,914.26
5130 Tax Reimbursements	$475,187	$448,016	$464,170	-$11,017	-2.3%	$15,472.32
5140 Insurance Reimbursements	$358,842	$354,996	$379,484	$20,642	5.8%	$12,649.46
5150 Percentage Rent	$119,395	$115,889	$123,448	$4,053	3.4%	$4,114.94
5160 Misc. Income	$541,352	$513,676	$528,162	-$13,189	-2.4%	$17,605.42

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Operating Performance

Operating expenses totaled $20,000 or approximately 31.31 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 5.38% reflects the in-place income and the stabilized occupancy assumption. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Debt service coverage ratio was 6.87x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $324,000 or approximately 37.00 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $65,000, representing a 13.8% increase over the prior year.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 24 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 14 hours. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Collections for the period were 89.7% of billed charges, with bad debt of 3.6% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $277,000, representing a 8.0% increase over the prior year. Operating expenses totaled $89,000 or approximately 45.86 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $400,000, representing a 8.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $429,000 or approximately 47.51 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Service requests are tracked through a work-order system with an average completion time of 30 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Collections for the period were 93.1% of billed charges, with bad debt of 4.5% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 37 spaces per 1,000 square feet.

Operating Performance

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 42 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 7.66x on a trailing basis against a covenant minimum of 1.20x.

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5110 Cable/Internet Revenue	$467,702	$448,000	$461,398	-$6,303	-1.3%	$15,379.94
5120 CAM Reimbursements	$294,833	$304,391	$321,835	$27,002	9.2%	$10,727.83
5130 Tax Reimbursements	$262,084	$260,915	$271,244	$9,161	3.5%	$9,041.48
5140 Insurance Reimbursements	$520,280	$479,718	$504,984	-$15,296	-2.9%	$16,832.80
5150 Percentage Rent	$547,887	$571,135	$575,838	$27,951	5.1%	$19,194.61
5160 Misc. Income	$116,260	$113,238	$120,255	$3,995	3.4%	$4,008.51
5170 Payroll - Management	$355,748	$371,006	$383,387	$27,639	7.8%	$12,779.56
5180 Payroll - Leasing	$548,007	$550,218	$580,235	$32,228	5.9%	$19,341.16
5190 Payroll - Maintenance	$621,384	$597,020	$629,505	$8,121	1.3%	$20,983.50
5200 Payroll Taxes & Benefits	$513,722	$507,285	$541,708	$27,987	5.4%	$18,056.94
5210 Repairs - Plumbing	$331,717	$356,457	$359,104	$27,387	8.3%	$11,970.14
5220 Repairs - HVAC	$83,050	$87,676	$87,802	$4,752	5.7%	$2,926.74
5230 Repairs - Electrical	$228,743	$241,785	$250,722	$21,979	9.6%	$8,357.39
5240 Repairs - Appliances	$403,656	$412,684	$425,694	$22,038	5.5%	$14,189.81
5250 Painting & Decorating	$183,701	$193,960	$194,267	$10,566	5.8%	$6,475.56
5260 Flooring	$369,287	$397,134	$417,282	$47,995	13.0%	$13,909.41
5270 Make-Ready / Turnover	$364,102	$378,364	$398,351	$34,249	9.4%	$13,278.37
5280 Landscaping Contract	$668,165	$718,781	$756,042	$87,877	13.2%	$25,201.40
5290 Snow Removal	$36,417	$33,674	$34,429	-$1,988	-5.5%	$1,147.63
5300 Janitorial	$485,298	$512,893	$529,074	$43,776	9.0%	$17,635.81
5310 Pest Control	$31,614	$32,159	$33,095	$1,481	4.7%	$1,103.18
5320 Trash Removal	$172,201	$172,967	$179,258	$7,057	4.1%	$5,975.27
5330 Elevator Contract	$170,062	$174,587	$181,304	$11,242	6.6%	$6,043.47
5340 Fire & Life Safety	$121,495	$128,504	$129,272	$7,778	6.4%	$4,309.07
5350 Security	$297,626	$291,958	$311,759	$14,133	4.7%	$10,391.95
5360 Electricity - Common	$384,755	$381,556	$381,997	-$2,758	-0.7%	$12,733.22
5370 Gas - Common	$139,168	$135,383	$141,400	$2,232	1.6%	$4,713.32
5380 Water & Sewer	$550,891	$531,767	$556,691	$5,800	1.1%	$18,556.36
5390 Telephone/Internet	$591,223	$573,102	$592,010	$786	0.1%	$19,733.65
5400 Advertising	$546,925	$556,229	$564,393	$17,467	3.2%	$18,813.10
5410 Resident Events	$495,761	$456,593	$488,029	-$7,732	-1.6%	$16,267.62
5420 Office Supplies	$203,042	$189,465	$191,354	-$11,688	-5.8%	$6,378.46
5430 Legal & Professional	$546,797	$562,312	$598,385	$51,588	9.4%	$19,946.15
5440 Accounting & Audit	$384,690	$394,311	$395,971	$11,281	2.9%	$13,199.05
5450 Licenses & Permits	$674,810	$719,344	$733,207	$58,397	8.7%	$24,440.24
5460 Management Fee	$372,370	$358,192	$377,111	$4,740	1.3%	$12,570.35
5470 Property Insurance	$193,003	$190,983	$203,285	$10,282	5.3%	$6,776.16
5480 Real Estate Taxes	$484,548	$503,263	$524,887	$40,338	8.3%	$17,496.22
5490 Asset Management Fee	$131,026	$136,380	$139,739	$8,713	6.7%	$4,657.96
5500 Replacement Reserves	$371,485	$392,146	$404,245	$32,760	8.8%	$13,474.83
5510 Roof Repairs	$194,512	$201,450	$210,982	$16,470	8.5%	$7,032.73

Report generated 11/16/2022. Figures are unaudited and subject to change.

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $308,000, representing a 7.1% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 14 spaces per 1,000 square feet. The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 6.66x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $416,000, representing a 12.9% increase over the prior year. Operating expenses totaled $470,000 or approximately 6.10 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Management Commentary

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 12 spaces per 1,000 square feet.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Service requests are tracked through a work-order system with an average completion time of 19 hours. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 4 spaces per 1,000 square feet. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $125,000, representing a 9.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period.

Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $229,000, representing a 12.0% increase over the prior year. The going-in capitalization rate of 6.59% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.29x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 9 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

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Summary and Notes

Income and Expense Review

Effective gross income for the trailing period was $8,000, representing a 4.7% increase over the prior year. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.37x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 46 spaces per 1,000 square feet. Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.92x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 7 hours. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Collections for the period were 92.6% of billed charges, with bad debt of 7.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 7 hours. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members.

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